

1. Paid Leaves (PL)

You must ensure that each employee gets 12 to 15 days of paid leave every year. However the number may vary from state to state. It is also known as privilege leave or earned leave. The employee earns a paid leave after every 20 working days. The unutilized earned leaves can be carried forward to the next year and can be accumulated.

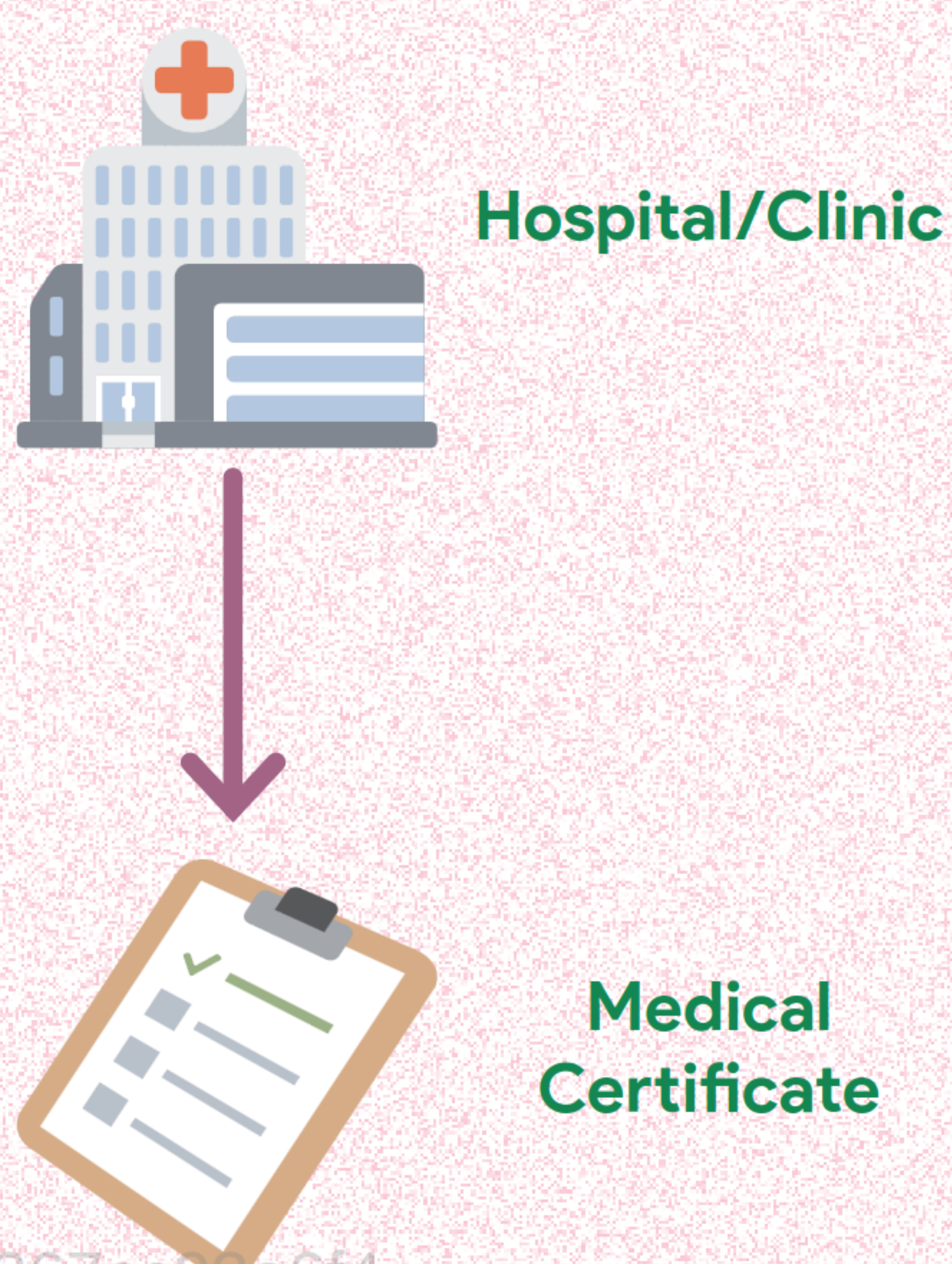
Suppose, an employee Raj was granted 12 leaves for a year. Raj took 8 leaves. At the end of the year, Raj has 4 leaves remaining. Next year, he gets another 12 leaves. Accumulation means that the 4 leaves of the previous year will get added to Raj's leave account and he will have (12+4) 16 leaves.



You may put a cap for maximum accumulation of leaves. You may also decide to encash the last year balance earned leaves on basic salary to reduce the future liability. You will have to encash the total accumulated earned leaves at the time of separation of an employee.

$$\begin{aligned} \text{Leaves Taken : } & 08 \\ \text{Cashable} &= 04 \times 1000 \\ &= 4,000 \end{aligned}$$

2. Sick Leave (SL)



Sick Leave is given to employees to take care of the illness or injury. Based on the State, sick leave of 10 to 12 days is provided. You may ask for a medical certificate for any sick leave of two days or more. The Sick Leave can be accumulated and availed by an employee in future. However, Sick Leave is not encashed.